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No. 95 - 354

Supreme Court, U.S.

FILED

MAR 30 1996

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**In The
Supreme Court of the United States
October Term, 1995**

JAMES O'CONNOR,

Petitioner,

v.

CONSOLIDATED COIN CATERERS CORP.,

Respondent.

**On Petition For Writ of Certiorari To The
United States Court Of Appeals For The Fourth Circuit**

**BRIEF OF AMICUS CURIAE
NEW ENGLAND LEGAL FOUNDATION
IN SUPPORT OF RESPONDENT**

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INTEREST OF AMICUS

New England Legal Foundation ("NELF"), a non-profit, public interest law firm, was incorporated in 1977. Its membership consists of corporations, individuals and others who believe in NELF's mission of promoting balanced economic growth for New England, protecting the free enterprise system and defending economic rights. NELF's more than 130 members and supporters include a cross-section of large and small corporations from all parts of New England and the United States. NELF has regularly appeared in state and federal court, as party or counsel, in cases raising issues of general economic significance to the business community. See, e.g., Hazen Paper Co. v. Biggins, 505 U.S. ___, 120 L.Ed. 2d 868 (1992); Ernst & Young, L.L.P. v. R.I. Depositors Economic Protection Corp., 133 L.Ed 2d 405 (November 13, 1995).

NELF is deeply concerned about the application of the Age Discrimination in Employment Act ("ADEA" or the "Act"). Differing interpretations of that Act can seriously and adversely impact employment decisions in which NELF's members and supporters are involved. Due to the potential for significant legal exposure arising out of legitimate employment decisions, NELF is concerned about the significant negative impacts of a reversal of the United States Court of Appeals for the Fourth Circuit's decision in this case. More broadly, NELF is concerned that a reversal of the decision below may encourage other courts to expand the liability of an employer to an employee at the expense of sound business judgment/decisionmaking.

NELF, therefore, seeks to file a brief amicus curiae in support of Consolidated Coin Caterers Corp. ("Consolidated Coin"), the Respondent in this action. Pursuant to Supreme Court Rule 37.2, NELF has obtained consent for the filing of this amicus brief from counsel for the petitioner and the respondent.

STATEMENT OF THE CASE

NELF accepts and relies upon the statement of the case contained in the Respondent's Brief.

ARGUMENT:

I. UNDER THE McDONNELL DOUGLAS PROOF SCHEME A CLAIMANT MUST ESTABLISH THAT A YOUNGER REPLACEMENT IS OUTSIDE THE PROTECTED CLASS IN THE ABSENCE OF OTHER PROBATIVE EVIDENCE OF DISCRIMINATION IN ORDER TO ESTABLISH A PRIMA FACIE CASE OF AGE DISCRIMINATION.

A. A Prima Facie Case under the ADEA Requires The Introduction Of Some Evidence Which Raises An Inference Of A Nexus Between The Plaintiff's Age And The Employment Decision.

In McDonnell Douglas Corp. v. Green, 411 U.S. 792 (1973), this Court "established an allocation of the burden of production and an order for the presentation of proof in Title VII discriminatory-treatment cases." St. Mary's Honor Center v. Hicks, __ U.S. __, 113 S. Ct. 2742 (1993). Under McDonnell Douglas, a prima facie case requires the presentation of evidence which will sustain an inference of unlawful discrimination. Furnco Construction Corp. v. Waters, 438 U.S. 567 (1978). This Court has not specifically set forth the necessary elements of a prima facie case under the Age Discrimination in Employment Act ("ADEA" or the "Act").¹ In recent years, lower courts have utilized the McDonnell Douglas analysis as a guide for ADEA cases. See Lovelace v. Sherwin-Williams Co., 681 F.2d 230, 239 (4th Cir. 1982); Loeb v. Textron,

¹ The ADEA forbids discrimination based on an individual's age. The Act's protections are limited to individuals who are at least forty (40) years old. 29 U.S.C. § 631(a).

Inc. 600 F.2d 1003, 1010 (1st Cir. 1979); Price v. Maryland Casualty Co., 561 F.2d 609 (5th Cir. 1977).

In the present case, the Fourth Circuit properly required the plaintiff to introduce evidence which satisfied this Court's requirement that a prima facie case be established only by introducing facts which, if otherwise unexplained, give rise to a sustainable inference of illegal discrimination. See e.g. International Brotherhood of Teamsters v. United States, 431 U.S. 344, 358 (1977); Texas Dept. of Community Affairs v. Burdine, 450 U.S. 248, 254 n.6 (1981); Hicks, 113 S. Ct. at n.3. The Fourth Circuit required the plaintiff to prove the following facts in order to establish a prima facie case of age discrimination under the ADEA:

(1) [he] is in protected age group; (2)[he] was discharged or demoted; (3) at the time of discharge or demotion, [he] was performing his job at a level that met his employer's legitimate expectations, and (4) following his discharge or demotion, [he] was replaced by someone of comparable qualifications outside the protected class.

O'Connor v. Consolidated Coin Caterers Corp., 56 F.3d 542, 546 (4th Cir. 1995) (emphasis added).

The prerequisites to a prima facie case set out by the Fourth Circuit are appropriate in a situation where, as here, the age characteristic of the replacement is the only circumstantial evidence presented to satisfy the required inference that age was a motivating factor in the challenged employment decision.

B. An Age Comparison Alone Is Insufficient To Support An Inference Of Illegal Age Discrimination.

The critical determination in this type of litigation is whether plaintiff has proven by a fair preponderance of the evidence that an

impermissible consideration, such as gender or age, was a substantial motivating factor in the challenged employment decision. In the context of the McDonnell Douglas scheme, the mere comparison of ages, without more, is insufficient to support an inference that age played a determining role in the discharge decision. No inference can be generated because no disparate treatment which requires an explanation has occurred. It is simply a fact of life that when an older employee is replaced, more often than not a younger person will be hired. Thus, the replacement of an older employee with a younger person, without more, does not support a conclusion that the employment action was a product of illegal age discrimination with any reasonable probability. See e.g. Laugesen v. Anaconda Company, 510 F.2d 307, 313 n. F.2d 1062, 1066 (4th Cir. 1980).

For purposes of prima facie analysis, the inference of illegal discrimination is generated by the fact that a non-protected person is being favored over a protected person. "The fourth element required to establish a 'prima facie case' of discrimination was intended to demonstrate unequal treatment by the relatively objective evidence of replacement by a member of a non-protected class." EEOC v. Western Electric Co., Inc., 713 F.2d 1011, 1014-15 (4th Cir. 1983). This approach is consistent with the inference recognized by numerous courts in both the Title VII and ADEA context. See e.g., Hicks, U.S. , 113 S. Ct. at 2745; Meinecke v. H & R Block Income Tax School Inc., 66 F.2d 77, 83 (5th Cir. 1995); Talley v. Bravo Pitino Restaurant, Ltd., 61 F.3d 1241, 1247 (6th Cir. 1995); Walker v. Nationsbank of Florida, N.A., 53 F.3d 1548, 1556 (11th Cir. 1995).

The Fourth Circuit appropriately applied this logic to the ADEA setting and adhered to the statutory distinction between protected (age forty and over) and non-protected (under age forty) age groups established by Congress in the ADEA. See 29 U.S.C. § 631(a). This approach is necessary to support an inference of illegal discrimination where the claimant seeks to rely on the age

characteristic of the replacement as part of a McDonnell Douglas prima facie case. Moreover, this approach is consistent with the legislatively dictated "protected" and "unprotected" categories. Those categories reflect a Congressional intent to address and combat stereotypes that arise merely because one is a member of a particular class.

The text of the ADEA does not create any hierarchy within the protected class. Clearly, Congress did not intend to set forth a general rule that every employment decision that involves two workers must always favor the older employee. Mere chronological age distinctions between two protected persons do not trigger an employer's legal liability under the ADEA. If Congress had wanted to create such a liability scheme it could have specifically done so. Consequently, this Court should affirm the Fourth Circuit's approach which relied on the statutorily created classes.

C. The Fourth Circuit Approach Does Not Prohibit A Claimant From Establishing An Inference Of Discrimination By Using An Intra-Class Comparison.

It is important to acknowledge that the Fourth Circuit approach does not preclude a plaintiff from establishing an age discrimination claim where the replacement is also within the protected class. The McDonnell Douglas proof scheme is not the only method of establishing an ADEA claim.² The fact that a plaintiff must point to a replacement outside the protected class when relying solely on the replacement's age and utilizing the McDonnell Douglas test, does not affect his/her ability to rely on an intra-protected age group comparison as circumstantial evidence of discrimination under traditional methods of proof. Although an intra-group comparison without more is insufficient to support an inference of

² Moreover, the age of a replacement is not the only means of establishing an inference of age discrimination under the rubric of McDonnell Douglas.

age discrimination, a 63 year old employee can still demonstrate that he/she was discriminated against when his/her replacement was 42 years old, so long as he/she can present evidence of actual discrimination.

II. SOUND PUBLIC POLICY SUPPORTS THE FOURTH CIRCUIT'S DECISION.

The approach used by the Fourth Circuit is buttressed by considerations of social policy. No reasonable person can avoid recognizing the statistical certainty that the older the employee the greater the likelihood that his/her replacement will in fact be younger. Most of the time when an employee in his/her late fifties or sixties is replaced it is by a younger person. The older the replaced employee, the greater the ratio between the number of potential replacements who are younger and the number who are older. Clearly, therefore, replacement by a younger person in and of itself does not support the requisite inference of illegal discrimination, particularly where, as here, the replacement is also a member of the protected class.

The ADEA does not require that every plaintiff in a protected age group be allowed a trial simply because he was discharged during a reduction in force. Holley v. Sanyo Mfg., 771 F.2d 1161, n.1 (8th Cir. 1985). The prima facie case plays an important role in helping "district courts identify meritless suits and stop[ping] them short of full trial." Steckl v. Motorola, Inc., 703 F.2d 392, 394 (9th Cir. 1983). An approach such as the one advocated by the Petitioner, whereby a plaintiff could establish a prima facie case merely by showing that he/she was replaced by a younger employee would thwart achievement of this goal. Moreover, it would unfairly shift the balance of rights between employers and employees in a manner inconsistent with the statutory scheme enacted by Congress and result in needless expenditures of time, money and judicial resources.

If the approach taken by the Fourth Circuit is not sanctioned, legitimate business decisions of employers will be further tainted in order to avoid potential, meritless discrimination claims. For example, each and every time an employer makes a decision to hire or fire an older worker he/she must evaluate the likelihood that a lawsuit will be brought and that the decision will have to be legitimized by a preponderance of the evidence. As a practical matter, particularly in light of the additional expense of litigation, in termination/replacement cases these considerations will most likely result in preferences toward older employees whenever there is some doubt whether the employer's explanations will be sanctioned by a judge or jury. Unfortunately, this will occur even in cases where the decision is made without regard to an employee's age. There is no support for such preferential treatment in either the language or the legislative history of the ADEA. This situation will be exacerbated if a plaintiff is allowed to establish a *prima facie* case merely by showing that the replacement is a younger member of the protected class. Moreover, no positive social benefit will be derived from such a scheme in instances where the only evidence in support of an age discrimination claim is the fact that the replacement is younger.

At the other end of the spectrum lies the prospect that the Petitioner's position could actually harm some older employees. If employers feel that the ADEA will make it significantly more difficult to replace older employees, they may be deterred from hiring otherwise attractive candidates for employment out of a fear that they will never be able to replace that employee without facing the time and expense of a jury trial. Consequently, forty and fifty year old individuals may find it harder to find employment. Clearly, such a result is the exact opposite of what the ADEA was intended to accomplish and would unfairly burden both employers and older employees.

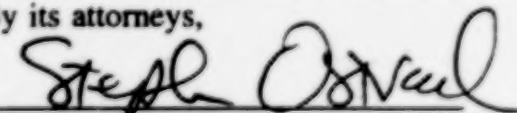
The approach taken by the Fourth Circuit balances the legitimate concerns of both employers and employees by requiring

an employee who seeks relief under the ADEA to at least establish that the replacement was a member of the unprotected class or provide some evidence, direct or circumstantial, indicative of illegal discrimination. This minimum requirement will limit the number of specious claims brought against an employer who makes a legitimate business decision that happens to result in replacement by a younger individual. At the same time, this approach will adequately protect the rights of older employees with legitimate claims.

CONCLUSION

For the reasons set forth above and articulated in the Brief of the Respondent, NELF respectfully requests that this Court affirm the decision of the United States Court of Appeals for the Fourth Circuit.

Respectfully submitted,
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